

2. *Management tenets*—three important qualities that senior managers must display.

3. *Financial tenets*—four critical financial decisions that the company must maintain.

4. *Market tenets*—two interrelated cost guidelines.

Not all of Buffett's acquisitions will display all the 12 tenets, but taken as a group, these tenets constitute the core of his equity investment approach.

These 12 tenets also serve as the principles by which Buffett runs Berkshire Hathaway. The same qualities he looks for in the businesses he buys, he expects to see when he walks through the front door of his office each day.

Business Tenets

For Buffett, stocks are an abstraction.² He doesn't think in terms of market theories, macroeconomic concepts, or sector trends. He makes investment decisions based only on how a business operates. He believes that if people are drawn to an investment because of superficial notions rather than business fundamentals, they are more likely to be scared away at the first sign of trouble and, in all likelihood, will lose money in the process. Instead, Buffett concentrates on learning all he can about the business under consideration. He focuses on three main areas:

1. A business must be simple and understandable.
2. A business must have a consistent operating history.
3. A business must have favorable long-term prospects.